



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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March 18, 2026

VIA ELECTRONIC MAIL

Evan Escobar
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Proposed Contract Termination with Valley Children's Hospital
Block Transfer Filing No. 2026-HOSP-293
Filed on March 17, 2026

Dear Mr. Evan Escobar:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Valley Children's Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Regarding the Enrollee Transfer Notice submitted for this Filing, the following information was found missing. Please resubmit the Enrollee Transfer Notice for the Department's review to include the following:
 - a. Statement and/or attachment informing enrollees that they may contact the Plan for language assistance. This statement must include the contact information for these services written in the identified top 15 threshold languages spoken by limited-English-proficient individuals in California as determined by the DHCS.

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2. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.
3. Please confirm whether the Plan has an internal deadline to start the Enrollee Transfer Notice. If yes, please share that date with the Department.
4. Please confirm whether the hospital termination is part of a health system termination. If yes, please confirm the health system and whether the contract is a stand-alone contract.
5. On the Block Transfer Filing form, in the Filing Info section, the Plan indicated there were zero (0) bed days utilized and zero (0) admits at the Terminating Hospital for the most recently completed Calendar Year. However, in the Enrollee Access section of the Block Transfer Filing form, Plan indicated that **LaSalle Medical Associates** has 91,823 assigned enrollees, utilized 79 bed days, and 35 non-ER admits. Please confirm the following:
 - a. The total number of affected enrollees,
 - b. The total number of bed days used,
 - c. The number of non-ER admits,
 - d. Whether LaSalle Medical Associates has routine access to the Terminating Hospital
 - e. If the pending contract termination impacts 50,000 or more enrollees, please submit the relevant portions of the Provider Contract(s) that relate to continuity of care and transition of care.
6. Please confirm whether the contract termination between the Plan and Valley Children's Hospital impacts Point of Service (POS) enrollees.
7. Please indicate whether the Terminating Hospital is or provides any of the following:
 - a. Tertiary care, quaternary care, cancer, burn or other high-level specialty services,
 - b. Transplant services, and if so,
 - i. What types of transplants,
 - ii. Whether the contract termination includes the transplant contract,
 - iii. The termination date of the transplant contract if separate from the hospital contract.
 - c. Recognized or designated as a hospital that provides other high-level specialty services, such as a Center of Excellence for Bariatric Surgery, Blue Distinction Center for Spine Surgery, etc., and if so,
 - i. Identify the distinguished services.
8. For each service available at the Terminating Hospital from Comment 7.a, 7.b, and 7.c, please confirm which Alternate Hospital(s) provides each service(s).

9. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The number of PPO members who reside within a 15 mile radius of the Terminating Hospital,
 - b. Whether all of the Alternate Hospitals are in-network facilities for PPO members,
 - c. Whether the Plan's PPO providers can admit for and provide all medically necessary services at the Alternate Hospitals,
 - d. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.
10. For each affected provider group that primarily utilizes the Terminating Hospital, please summarize or confirm the following:
 - a. Whether the provider group has been contacted,
 - b. Name of contact, phone number, and email address,
 - c. Whether the provider group expressed concerns,
 - d. Whether the provider group has routine access to the Terminating Hospital,
 - e. The ability of the provider group to redirect enrollees to the Alternate Hospitals:
 - i. Whether there is any specialty for which all of the associated specialists have admitting privileges **only** at the Terminating Hospital and not at any of the Alternate Hospitals,
 1. If yes, please identify the specialty and explain how Plan enrollees assigned to the provider group will receive care and services for that specialty following contract termination.
 - ii. If the provider group does not have any primary care physicians or specialists with admitting privileges to one or more Alternate Hospitals, please explain how its assigned enrollees will be admitted to the Alternate Hospital(s) (e.g. via hospitalists, Plan admission process, etc.).
 1. If hospitalists are utilized, please indicate:
 - a. The name of the group,
 - b. The number of associated hospitalists, and
 - c. If the hospitalists can admit enrollees for any medically necessary services.
11. The Plan included Community Regional Medical Center – Fresno as an Alternate Hospital; however, was not included as an Alternate Hospital for LaSalle Medical Associates. Please confirm whether Community Regional Medical Center – Fresno is an Alternate Hospital for MemorialCare Medical Foundation. If yes, please provide the following:

- a. Number of PCPs and/or Hospitalists who admit to the Alternate Hospital,
 - b. Number of Specialist who admit to the Alternate Hospital,
 - c. Date Contract Terminates/Renews,
 - d. Termination Notice Days,
 - e. Whether a notice of contract termination is sent or received,
 - f. Whether there is a potential cost increase for PPO/POS enrollees, and
 - g. Whether the contract is evergreen and will auto-renew.
12. For each Alternate Hospital, please summarize or confirm the following:
 - a. The Plan contacted the hospital regarding the Block Transfer,
 - b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer,
 - c. Whether the Plan has sent or received a notice of contract termination from the Alternate Hospital, and if so, whether that contract is set to terminate within the next six months.
13. Please confirm whether the HMO providers that routinely utilize the Terminating Hospital have adequate admitting privileges for PCPs and specialists to at least one of the identified Alternate Hospitals containing all services that will be lost should the contract ultimately terminate.
14. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services,
 - b. Any tertiary care, quaternary care, cancer, burn or other high-level specialty services,
 - c. Any transplant services.

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.
15. In the event of contract termination where the Plan removes the Terminating Hospital from its contracted provider network, please summarize or confirm the following that may result:
 - a. The total number of enrollees, if any, who have a residence or workplace beyond 30 minutes or 15 miles of a contracting or plan-operated hospital,
 - b. The number of enrollees from 15.a. within each corresponding zip code,
 - c. The Plan's process for ensuring compliance with Cal. Code Regs., Tit. 28, § 1300.51(d)(H)(ii). (ii) Hospitals. In the case of a full-service plan, all enrollees have a residence or workplace within 30 minutes or 15 miles of a contracting or plan-operated hospital which has a capacity to serve the

entire dependent enrollee population based on normal utilization, and, if separate from such hospital, a contracting or plan-operated provider of all emergency health care services

16. Please confirm the medical groups that do not utilize the Terminating Hospital as a primary hospital, but have admitted enrollees for the most recently completed calendar year, are able to refer their enrollees to other hospitals within the Plan's network for services comparable to those provided by the Terminating Hospital.
17. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.
18. Please indicate whether a continuity of care and/or completion of covered services agreement exists between the Plan and the Terminating Hospital. If no agreement exists, please provide an update on the progress, if any, of reaching an agreement.
19. Please confirm whether the provider group(s) in this Block Transfer Filing are facing potential contract termination(s) within six months. In addition, if the Plan is required to file a Block Transfer Filing for any of the provider group(s), please provide the name of the provider group and the filing number of each Block Transfer Filing.

Please submit the Plan's response by **March 25, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Cindy Nguyen
Analyst II
Office of Plan Monitoring